

Grade 6: Financial Literacy

Real Estate Analysis: To Buy or To Rent?

Empowering the next generation to make smart housing choices.

1. The Dream of a Home

In India, owning a home is often seen as a special wish for many families [cite: 11]. It is more than just bricks and mortar; it is a place where family traditions like Diwali are celebrated and lasting memories are made [cite: 5, 7, 9].

Key Vocabulary

- **Home:** A place for family traditions and memories [cite: 12].
- **Real Estate:** Property consisting of land or buildings.

Story Hook: Asha and Ramesh's Grandparents

Asha and Ramesh's grandparents always dreamed of owning their own home—a dedicated space to celebrate Diwali with the whole family together [cite: 9, 10].

2. What Does Renting Mean?

Renting means you pay a monthly fee to a landlord to live in their property [cite: 20, 28]. You do not own the home, but you have the right to live there [cite: 46].

The Costs of Renting [cite: 49]

- **Monthly Rent:** The regular payment made to the landlord [cite: 50].
- **Security Deposit:** An upfront lump sum, often ranging from 2 to 10 months of rent [cite: 22, 50]. This is usually returned when you leave [cite: 51].

Indian Context Example:

Imagine living in a rented flat near a school in South Delhi. You might pay ₹15,000 rent every month plus an upfront security deposit [cite: 30, 31].

The Major Advantage

Flexibility: Renting offers the freedom to move easily for new jobs or studies [cite: 32, 111].

3. What Does Buying Mean?

Buying means you are the owner of the home [cite: 41, 42]. While it is a big commitment, it provides "Pride of Ownership" and a permanent place for your family [cite: 36, 48, 121].

The Costs of Buying [cite: 52]

- **Down Payment:** A large initial payment made at the start [cite: 34, 43].
- **EMI (Equated Monthly Installment):** A fixed monthly payment made to the bank for a home loan [cite: 53].
- **Maintenance:** Monthly fees for building upkeep, security, and common areas [cite: 54].

Indian Context Example:

Buying a 2BHK flat in a gated community in Pune involves a down payment followed by monthly EMIs and maintenance fees [cite: 43].

4. Asset or Expense?

Understanding the financial difference between these two paths is essential for long-term planning [cite: 73].

The Asset (Buying)

An **Asset** is something you own that can grow in value over time (Appreciation) [cite: 63, 64].

Example: A flat in Mumbai bought for ₹50 lakhs might be worth ₹80 lakhs in 10 years! [cite: 74]

The Expense (Renting)

An **Expense** is money you pay regularly without gaining ownership [cite: 65, 66].

Example: Paying ₹20,000 monthly rent in Bengaluru means spending ₹2.4 lakhs a year without owning the asset [cite: 75].

5. Activity: The Price Tag

Let's calculate the annual cost for both options to see how they compare in a typical year [cite: 79, 94].

Scenario A: Renting (1 Year)

$$₹15,000 \times 12 \text{ months} = ₹1,80,000 \text{ [cite: 80, 81]}$$

Scenario B: Buying (1 Year)

$$₹12,000 \text{ (EMI)} \times 12 = ₹1,44,000$$

$$+ ₹3,000 \text{ (Maintenance)} \times 12 = ₹36,000$$

$$\text{Total: } ₹1,80,000 \text{ [cite: 83, 84, 85, 86]}$$

Discussion Question: If the yearly cost is the same (₹1,80,000), why might a family still choose one over the other? [cite: 87]

Summary Table [cite: 102, 115]

Feature	Renting	Buying
Ownership	No [cite: 46]	Yes [cite: 44]
Flexibility	High [cite: 111]	Low [cite: 129]
Commitment	Low [cite: 112]	High [cite: 48]

6. Making the Right Choice

The right choice depends on your family's goals and situation [cite: 142, 143]. If you need freedom to relocate for work, **renting** is excellent [cite: 131, 134]. If you want a permanent investment, **buying** is a strong path [cite: 133, 135].

Quick Quiz: Test Your Knowledge! [cite: 145]

1. What does EMI stand for? [cite: 146]
2. What is a security deposit? [cite: 145]
3. Name one "pro" of renting a home. [cite: 145]
4. True or False: A home is considered an asset if its value grows over time. [cite: 63, 64]

Congratulations! You've completed the Real Estate Analysis Session.